

OCTAVE INTELLIGENCE PLC OCTV

September 15, 2026 - 12:56pm EST
by

GoBills42

			2026	2027
Price:	18.65	EPS	1.45	1.55
Shares Out. (in M):	268	P/E	12.4	11.2
Market Cap (in \$M):	4,600	P/FCF	14	13
Net Debt (in \$M):	400	EBIT	0	0
TEV (in \$M):	5,000	TEV/EBIT	0	0

Description

Octave Intelligence (OCTV)

Date: 9/11/26

Company: Octave Intelligence plc

Ticker: OCTV

Price: \$17.30

Market Cap: \$4.6B (~268m shares)

Enterprise Value: \$5B

Summary

Octave is a recent spin-off in a sector the market hates. Channel checks with customers show AI is enhancing this business, not disrupting it. Gross retention is 97% (99% for large customers), net retention is 105%, and 86% of customers are on a single workflow. Management can sell deeper into the existing base, take out costs, and do tuck-in M&A off a low-leverage balance sheet (~1x). The stock trades at ~10x my 2028 Adj. EPS. The market is missing three things: 1) Revenue uplift from cross-selling; one workflow generates ~\$150k of ARR/client, two generates \$500k+, and three generates \$2m+; 2) cost reduction from AI efficiency gains and a management team that has sole discretion on hiring/firing and process/efficiency improvements; 3) intentional near-term revenue headwinds masking underlying growth as perpetual licenses convert to SaaS.

The setup is a typical orphaned spin: Swedish parent company, US listing, dual-class share structure, and a controlling shareholder. OCTV trades at 2.4-3 turns on an EV/Sales basis below its peer group of design software companies that have fallen over 30% last year. While optically, growth is lower than peers, the underlying business quality is improving due to revenue mix shifts. As gross retention rate (GRR) and net retention rate (NRR) improve, estimates will move higher and the stock should re-rate higher. With ~1x of net leverage (which could be paid off in 1 year), downside is limited.

Background

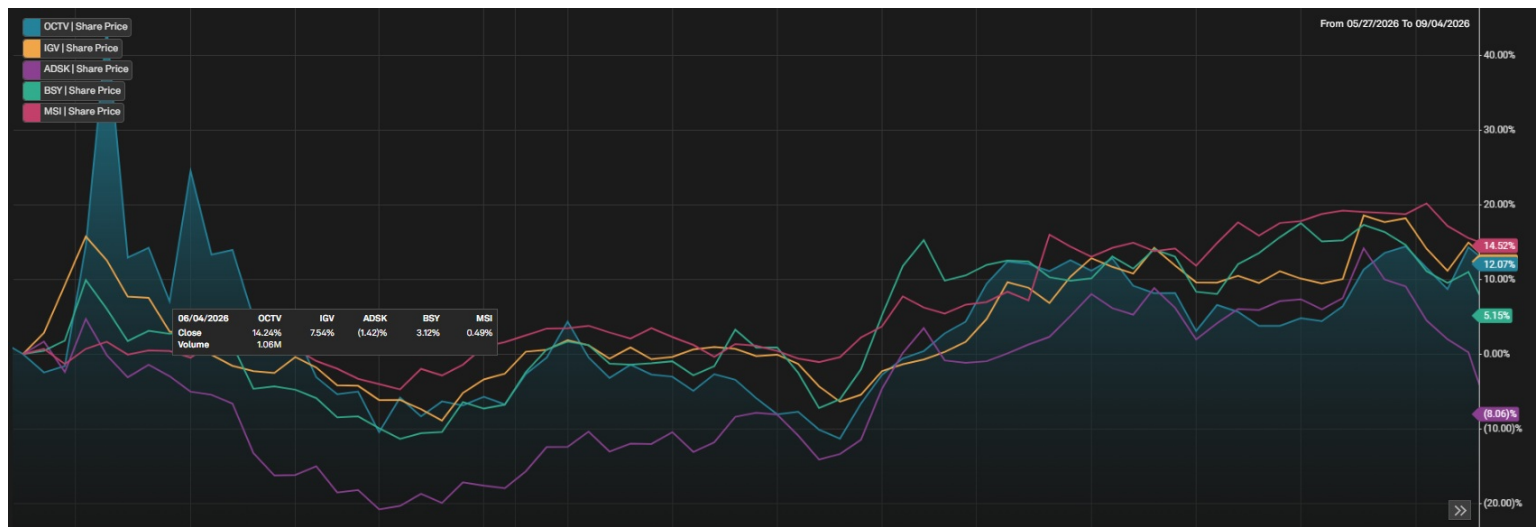
Octave Intelligence (OCTV) was spun off from Hexagon AB (HEXA) at 1 Octave share per 10 Hexagon shares. When-issued trading began 5/21/26, and regular trading began on 5/28/26. Hexagon is a Stockholm-based test and measurement company: sensors, metrology, and the software around them. Octave's software is a different business, covering the engineering, design, construction, and operation of large industrial and infrastructure assets.

Octave came out at ~\$6B (5/21/26) against Hexagon's ~\$29B pre-spin market cap. Hexagon shareholders were left with: 1) a US-listed stock alongside their Swedish-listed one; 2) a position 90% smaller by value than their HEXA stake; 3) a software business unrelated to the test and measurement business they previously owned, in a category everyone thinks AI will displace.

Two options: buy 5x to 10x more OCTV to size it like the HEXA position, or, more likely, sell it and keep HEXA. We like finding situations where sellers are price-insensitive and want out.

Ownership and the next overhang. Melker Schörling AB, Hexagon's anchor holder, owns 21.8% of Octave's shares and 42.9% of the votes (11.0m Class A shares at 10 votes each plus 47.4m Class B shares, per the Schedule 13D). Registration rights open 5/22/27. A dual-class structure with a Swedish depositary receipt line on top is index-hostile, which keeps a large pool of passive and mandate-constrained buyers on the sidelines.

Since regular-way trading began, the stock is up ~2%, slightly behind the IGV, ahead of BSY (-3.8%) and ADSK (-11.8%), and a touch behind MSI (+13%).



ADSK is down 31% over the past 52 weeks, BSY 37%, and PTC 33% (as of 9/4). Software multiples have compressed, and OCTV still sits 2.4 to 3 turns of EV/Sales below them.

Business Overview

Octave offers software across four key workflows—Design, Build, Operate, and Protect—serving asset-intensive sectors and the public sector. Typically, clients start with one workflow, but the value proposition increases as they adopt a second and third. For FY25, based on the Investor Day carve-out, the company reported revenue of \$1.638 billion, an ARR exceeding \$1.1 billion, adjusted operating income of \$506 million (approximately 31% margin), free cash flow of \$320 million (around 20%), gross renewal rate (GRR) of 97% (99% for large customers), net renewal rate (NRR) of 105%, a subscription mix of 66%, and 86% of customers utilizing a single workflow.

Design (40% of revenue): 2D and 3D modeling, engineering analysis, and simulation for plants, facilities, and infrastructure. This is where the asset gets designed, and where mistakes are cheapest to fix.

Build (10%): Software supporting procurement, fabrication, construction, and commissioning, connecting design with actual construction to allow project teams to observe changes, track materials, and identify deviations early, preventing rework and schedule delays.

Operate (30%): Software for asset management post-construction, enabling operators and maintenance teams to monitor equipment, handle alarms, manage shift handovers, and schedule maintenance, all backed by design and build data so users understand what they see. The goal is to reduce downtime and improve safety and compliance.

Protect (20%): Threat detection and incident response for public safety agencies, security operations centers, emergency responders, and critical infrastructure operators. Protect also holds most of the remaining perpetual license business (per IR), which affects how reported revenue is presented (see Thesis).

Octave's pitch is that the cost to rework a project compounds at each stage. Take a gas-fired power plant: changing a design before construction is far cheaper than changing it mid-build, and a change during construction is far cheaper than one after the plant is running. Preventing a refinery explosion, a gas leak, or a cyber event is potentially company-changing. Management frames it as 1x, 5x, 25x, and 500x+ across the four stages.

Systemic Failure at Scale

The Cost of Getting It Wrong

Protect

500x+

Cost to correct

Operate

25x

Cost to correct

Build

5x

Cost to correct

Design

1x

Cost to correct

The Cost Of An Error Multiplies At Every Phase It Goes Undetected.

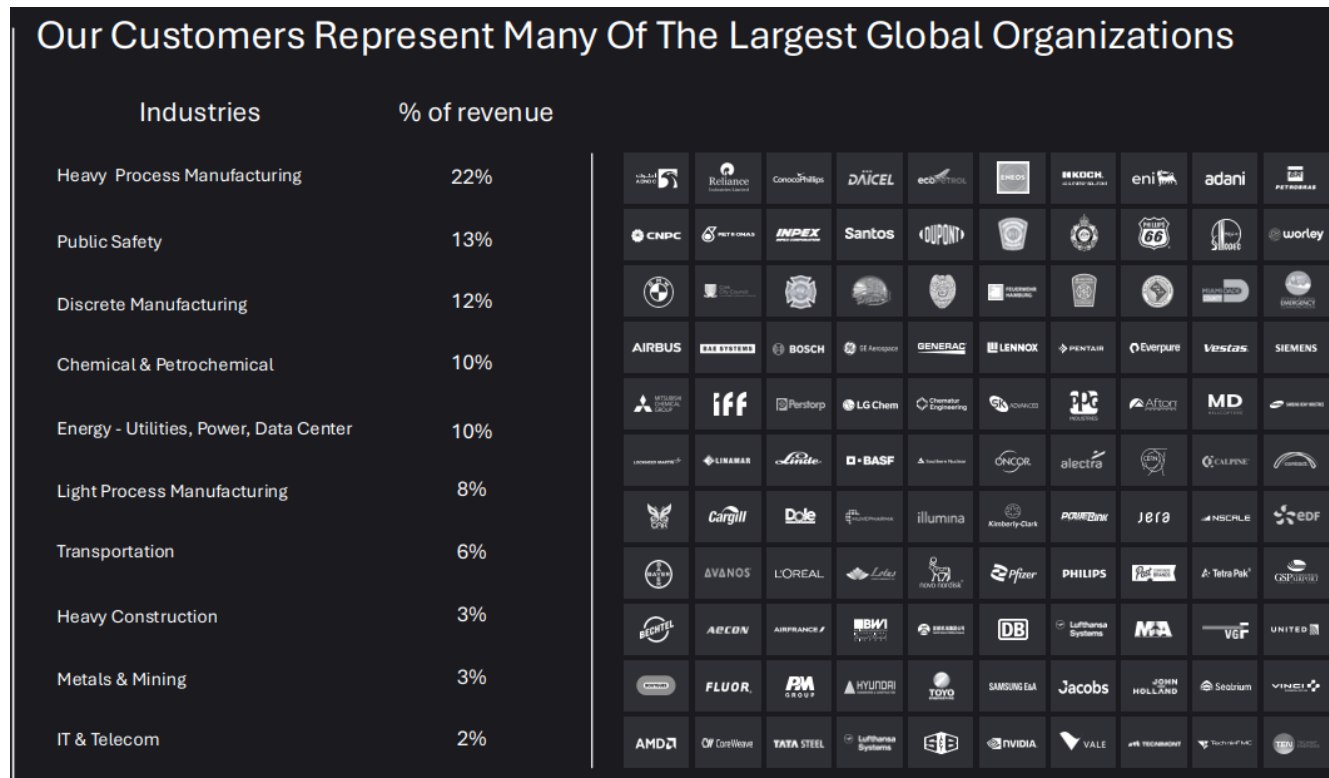
Post-rebrand, the lineup is Forte, Facets, Aspect, BricsCAD, and InConcert (Design); Sequence, Loop, and OnSite (Build); Attune and Reliance (Operate); OnCall (Protect); plus an AI stack of Assist, Aria, and CoLabs. Several are renames of Hexagon products: InConcert was SDx2, Attune was HxGN EAM, Sequence was EcoSys, and Aria was Alix.

Product	Environment	What it does
Forte	Design	Advanced 3D plant design and isometric documentation
Facets	Design	Schematics and design tools: electrical, instrumentation, P&IDs, and validation
Aspect	Design	Engineering analysis: pipe stress, pressure vessels, structures, and tanks
BricsCAD (Bricsys)	Design	CAD platform for 2D drafting, 3D modeling, BIM, and mechanical design. Key subsidiary
InConcert	Design	Formerly SDx2
Sequence	Build	Project cost and controls (formerly EcoSys)
Loop	Build	Supply chain and materials management
OnSite	Build	Field execution
NetWorks	Build / Operate	Infrastructure (network and utility) design and planning
Attune	Operate	Enterprise asset management (formerly HxGN EAM)
Reliance (ETQ)	Operate	Quality, compliance, and EHS management: documentation, audits, and training. ETQ is a key subsidiary
Tempo	Operate	Operations management: automation and control-system effectiveness
Alto (suite)	Operate / Geospatial	Geospatial data management and visualization (Browser, Data Management, Enterprise, Lightspeed, and Server editions)
Imagine	Operate / Geospatial	Geospatial imagery and photogrammetry
Coda	Operate / Protect	Integrated operations platform: video analytics, situational awareness, spatial solutions, and orchestration
OnCall	Protect	Public safety computer-aided dispatch (CAD), records (RMS), and field mobility

Product	Environment	What it does
Assist / Aria / CoLabs	AI stack	Assist is embedded inside the workflows; Aria (formerly Alix) is in private preview; CoLabs is the forward-deployed engineering program.

End Markets and Customers

FY25 revenue by industry: Heavy Process Manufacturing 22%, Public Safety 13%, Discrete Manufacturing 12%, Chemical and Petrochemical 10%, Energy (utilities, power, data centers) 10%, Light Process Manufacturing 8%, Transportation 6%, Heavy Construction 3%, Metals and Mining 3%, and IT and Telecom 2%. IR pointed to data center energy and utilities as the larger incremental opportunities from here.



End Market	Description / Use
Oil & Gas	Plant design, engineering, operations, and asset integrity
Chemicals / Process industries	Plant lifecycle, quality, and operations software
Power generation & Utilities	Asset performance, grid and infrastructure, and operations
Metals & Mining	Engineering, operations, and asset management
Manufacturing (discrete & process)	Design (CAD), quality (ETQ), and operations management
Power, Data Centers & IT Infrastructure	Design, build, and operate critical facilities
Heavy Construction & Public Works	Construction planning, materials, and infrastructure design
Transportation, Networks & Logistics	Infrastructure planning and operations
Public Safety & Emergency Response	Computer-aided dispatch, records, and field mobility (OnCall)
Defense / National Security	Geospatial, situational awareness, and security software
Government / Public Sector	Geospatial, safety, and infrastructure software
Healthcare	Quality and compliance management (ETQ) and operations

Customers include BMW, Phillips 66, Cargill, Fluor, Bechtel, United Airlines, and many of the largest industrial organizations in the world (Investor Day). At Q2, Octave had 3,267 customers with ARR above \$25k (~97% of ARR), up from 3,223 at year-end, and 438 large customers above \$0.5m of ARR (~50% of ARR), up from 421. EPC customers represent roughly 50% of revenue (per IR), with owner-operators making up most of the balance. Recent verified activities include Bechtel and Fluor being named as initial participants in CoLabs (Q2 release); Kimberly-Clark, the City of Rio de Janeiro, and Frankfurt's VGF being highlighted at the Investor Day; Veolia's five-year Attune renewal, which covers more than 10,000 seats (August 2026); and MAIRE's multi-module Design and

Build agreement, along with a CoLabs collaboration (August 31, 2026).

Revenue Model and Go-to-Market

Octave offers various licensing options including perpetual licenses with maintenance, subscriptions, SaaS, and services. Most perpetual licenses are for Protect. Maintenance agreements generally last one year, and monthly subscription plans are available. Recurring revenue—comprising SaaS, subscription licenses, and maintenance—accounted for 69% of LTM revenue in Q2 26, up from 65% a year earlier, though the medium-term goal is 75%. In Q2, SaaS grew 21%, subscription licenses increased by 5% in constant currency and are now stabilizing, while organic perpetual license sales declined 23%.

The sales organization is structured around end-customer segments across the US, the rest of North America, and EMEA. Roughly 90% of revenue is sold direct, and IR sees an opportunity to add AWS and other marketplace platforms as a channel. Octave hired its first Chief Revenue Officer in the summer of 2025. She brought customer success in-house and moved the renewals team out of finance and into the sales organization. That sounds like housekeeping; it is the single most important operational change in the Thesis. Historically, price increases have been "very modest" and present an opportunity for the business.

Thesis

Cross-sell is the whole story. 86% of Octave's customers run a single workflow today. Based on customer profile, most should be on two, a subset on three, and owner-operators on all four. We estimate ~90% of the base could be multi-product, roughly the inverse of today's mix. Expansion into an installed base is cheaper and should be easier than acquiring new logos. Roughly 2/3 of forward growth is expected to come from existing customers.

The debate about the stock centers on the broader "software is dead" argument that AI compresses or replaces application software. We don't think it applies here. Octave sells mission-critical workflows priced at a small fraction of the cost of failure. That is not a product a company tries to insource, as cost is unlikely to be the primary determinant of contract wins. It's more about the value, i.e., project cost reductions, time to completion, and operating data post-build. The data backs this up. GRR at 99% of large contracts and NRR at 105% reinforce the critical nature of the software.

1. Cross-sell whitespace

ARR per customer runs ~\$150k on one workflow, ~\$500k on two, and \$2m+ on three or more, an uplift of ~3.4x going from one to two workflows and ~15x going from one to three. Within each workflow, there are many sub-workflows. The medium-term NRR target is 108% compared to today's 105%. Management's comments on the 86% single workflow: It "is our biggest growth runway. The economics are proven. The systematic motion to capture it is what we're building." It is not built yet. The market is unwilling to underwrite any material revenue uplift until this begins to materialize.

How the cross-sell works in practice: an EPC like Fluor designing and building a gas plant for a utility should be on Design and Build, two workflows. The operator that takes the plant over should be on Design (to keep the as-built model live), Operate, and potentially Protect. Historically, the transition from build to operate is where most customers lose the data and opt for just one workflow. This is where the new sales organization must come in to drive higher cross-sell. EPCs are ~50% of revenue and are the obvious two-workflow customers; owner-operators are the 3-4 workflow opportunity. Data is the connective tissue. IR's line is that 96% of engineering data goes unused, and it is usually lost in the handoff from build to operate. The customer that keeps its design data live through operations is the customer that ends up on three or four workflows, and that is the problem CoLabs is built to solve.

Why it did not happen under Hexagon: expert calls suggested that while customers may have been on one or two workflows, the sales organization was structured such that the design sales rep was siloed from the build rep, who was siloed from the operate rep, and so on. A former Hexagon director: "The divisions shared a lot of customers, but they didn't share customers... they operated autonomously, and they didn't share the information." There was no cross-divisional marketing, and per a former SIG SVP, "didn't have much cross-selling" and ran out of separate offices. Renewals were run out of finance rather than sales, which is why pricing has been an afterthought. The recent (2025) CRO hire is changing this. Customer success is moving in-house, and renewals are moving into the sales division. Pricing is now a lever that has barely been pulled, but one that will start to be. While there is risk that pricing could negatively affect GRR, I expect Octave to push through 1%-3% incremental pricing, helping them reach their stated 108% NRR.

Early evidence: on the Q2 call, Mattias Stenberg, CEO, stated that the 86% of customers of one workflow figure is already lower and that more than 100 customers added another solution in the quarter, with those deals larger than a typical new logo. On a base of 3,267 customers, this represents a good start to the cross-sell initiative.

2. AI enhances these products; it does not displace them

Customers are asking Octave to build agentic workflows on their own engineering context, not to point a generic LLM at 30 years of plant data. Assist is embedded inside the workflows, Aria is in private preview, and CoLabs is the forward-deployed motion: product and technical people sit inside the customer for an ~11-week sprint, building agentic workflows on that account's real design and operations data. Bechtel and Fluor are initial participants, and MAIRE signed on at the end of August. No revenue yet; however, over the next several years, this will likely become a revenue accelerator and margin enhancer. What it does today is entrench Octave further as the system of record, supporting GRR and NRR.

Switching costs are not just a technical decision. One call noted, "Once you have a large system like Hexagon in your organization... that results in strong stickiness. Currently, switching from Octave to AVEVA is nearly impossible. However, there's concern that AI-assisted coding might eventually reduce migration costs. Engineering forums reinforce this lock-in: owners specify the stress analysis tool in the SOW, SmartPlant 3D requires two admins per piping designer, and "3D piping is an expensive, long-term investment. While this benefits OCTV on the renewals side, it limits their ability to bring in new customers.

From an ICT Manager I spoke with regarding information management terms used by BP in their projects. "Basically, it is about filling all equipment attributes (physical and functional) in the correct format into a template given by BP. Then validate it against the BP equipment database. Unfortunately, not all of that

information can be produced through software (SmartPlant, etc.). Many are also from manual entries (using an Excel file). Yes. AI would be the solution. Not many people in the energy industry are aware of this potential." An engineering and automation manager at Bechtel stated, " We plan to continue using Smart applications and the AI aspect within the tools and add-ons as required." Octave's AI products enable sales reps to reengage with customers, not only for the AI tool, but also for other complementary products.

3. The Q2 revenue "miss" is relatively unimportant

Q2 organic total revenue was down 1%, and management cut the FY26 organic total revenue guide to 0% to 2% from 3% to 4%. Perpetual licenses fell 23% organically in constant currency, and services were down again. What is more important was that the ARR guide was held at +6% to 8%; two-thirds of ARR growth came from existing customers; SaaS grew 21%, and subscription licenses grew 5% and are stabilizing. Protection at ~20% of revenue is primarily government CAD, RMS, and physical security, where perpetual licensing is still how customers buy. These tend to have longer sales cycles and longer-duration contracts and were the reason for the guide down.

The perpetual-to-SaaS shift depresses near-term reported revenue and services attach while lifting lifetime value. Recurring went from 65% to 69% of LTM revenue in a year, with 75% the medium-term target. This mix is similar to AVEVA in FY22 (~66% recurring), compared to BSY or PTC (93% to 97%).

4. Margin, cash, and capital allocation

I expect margins to improve beyond management's 30% adj. operating margin (which, on a like-for-like basis, is 3% lower than its 2025 31% Adj. Operating Margin figure, as SBC is guided to increase from 1% of revenue to 4%) due to a leaner, more efficient operation. AI-enhanced productivity in R&D and services, along with a management team now evaluated on its own P&L rather than as part of Hexagon, will drive this growth. Capital allocation priorities prioritize R&D and product development first, followed by share repurchases, initially to counter SBC, and a more substantial program likely after year two of the spin-off. Tuck-in M&A will come afterward. With about 1x leverage, management has considerable operational flexibility.

Competitive Landscape

Environment	Company's
Design	Autodesk, Bentley, AVEVA, Esri
Build	Autodesk, AVEVA, Bentley, Procore
Operate	AVEVA, Bentley, IBM Maximo, IFS
Protect	CentralSquare, Motorola, Tyler

Protect: a public win/loss tape.

OnCall is the cleanest differentiation versus ADSK, BSY, and PTC, and also the lumpiest 20% of revenue. Because public safety procurement is public, I built a win/loss tracker from municipal filings (council minutes, RFP awards, and contract disclosures). While this is just a subset of the overall portfolio, we found 80 deals, 39 with disclosed dollar values totaling \$236.7m.

Bucket	Definition	Deals	Deals w/ \$ disclosed	Disclosed value (\$m)
Loss	Confirmed churn out of Hexagon	11	8	\$42.8
Win	New or competitive Hexagon win	19	9	\$54.0
Retained	Renewal, upgrade, or installed base	24	14	\$72.4
Retained (watch)	Possible quiet loss, unconfirmed	1	0	\$0.0
Shopping	Active RFP or evaluation in flight	15	2	\$5.2
Non-OCTV	Adjacent deal, not a Hexagon switch	10	6	\$62.3
Total		80	39	\$236.7

Largest disclosed contracts

Entity	State	Bucket	Scope	Value (\$m)
Edmonton	AB (Canada)	Retained	CAD sole-source	\$55.0 CAD
Houston	TX	Non-OCTV	Police RMS	\$31.0
Denver	CO	Non-OCTV	CAD + Mobile Data	\$24.3
Dallas	TX	Loss	CAD + RMS (police, fire, courts)	\$22.6
MTA (NYC Transit Buses + MTA Bus Co.)	NY	Win	EAM/CMMS across 27 bus depots and 4 shops	\$13.0
Ontario	CA	Win	CAD + RMS (+ Skydio DFR)	\$9.1
Erie County	NY	Win	CAD + RMS + Analytics cloud	\$8.8

Entity	State	Bucket	Scope	Value (\$m)
Newark	NJ	Non-OCTV	Police CAD	\$8.0
Williamson County	TX	Win	CAD + RMS + Connect	\$6.4
Oakland	CA	Non-OCTV	RMS (CAD stays Motorola)	\$6.2
Sunnyvale	CA	Win	CAD	\$5.5
Milwaukee	WI	Win	Unified police + fire CAD / Mobile	\$5.0

Deal activity by year

Year	Confirmed losses	Wins	Retained/renewed	Shopping (open)	Total
2016	1	0	0	0	1
2017	0	0	1	0	1
2018	2	0	0	0	2
2019	1	0	0	0	1
2020	0	1	0	0	1
2021	0	0	2	0	2
2022	0	2	0	0	2
2023	0	2	0	1	3
2024	3	7	5	1	16
2025	3	2	8	6	19
2026 YTD	0	4	3	7	14

Since 2024, OnCall has won 13 CAD/RMS deals against 6 confirmed losses; the renewal cohort is growing (5, 8, and 3 retained in 2024, 2025, and 2026 to date); and 2026 is 4-0 with seven RFPs still open. Wins cluster in the county and mid-size city tier (Erie County, Williamson County, Milwaukee, Sunnyvale, Ontario), and the largest retained contract is Edmonton's \$55m CAD sole-source CAD renewal, which is a 20-year OnCall.

Valuation

At ~\$5.0B of enterprise value, Octave trades at 4.4x Q2 ARR, 3.0x FY26E sales at the midpoint of guidance (\$1.64B to \$1.67B), and 12.4x forward EPS. Against the public design and industrial software screen:

	EV	EV / Q2 ARR	EV / FY26E sales (mid)	Fwd P/E
OCTV	\$5.0B	4.4x	3.0x	12.4x
ADSK	\$44.87B	N/A	5.4x	17.6x
BSY	\$11.03B	7.2x	6.0x	21.4x
PTC	\$15.85B	6.5x	5.6x	15.6x

The gap is 2.4-3 turns of sales and 3x-9x on fwd p/e. This is to point out that the business is transitioning to a more recurring revenue mix (today at 69% recurring compared to 93% to 97% at BSY and PTC) and a dual-class structure. As OCTV demonstrates sustained ARR growth, recurring mix moving toward 75%, and NRR moving toward 108%, none of which requires the multi-workflow flywheel to be running at full speed. At ~10x my 2028 Adj. EPS, the market is paying a low multiple for a 97% gross retention software business. There are many different ways to win when paying this price.

1-year return scenarios

	2027 EPS	P/E	12m Target	% return
Bull	\$1.65	17x	\$28.00	62%
Base	\$1.55	15x	\$23.25	34%
Bear	\$1.35	11x	\$14.85	-15%

3-year target

2028 EPS	Target P/E	3-Year Target	% return	% IRR
\$1.75	15x	\$26.25	52%	15%

Risks

- Controlling shareholder sell-down. Melker Schöring AB owns 21.8% of shares and 42.9% of votes.
 - Registration rights open on 5/22/27.
- Protect lumpiness. OnCall is ~20% of revenue, still sold largely on perpetual licenses to governments, with implementations that run for months to years.
- AI demand destruction or software lowers the switching-cost barrier.
- NRR does not inflect. 105% to 108% is the entire near-term case. If the 100 adds in Q2 turn out to be same-pillar SKUs rather than second workflows, the annual update to the 86% figure will disappoint.
- Guide credibility. Total revenue guidance was cut within the first quarter as a public company. Optically, a poor look as the first true chance to build trust with investors.

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Catalyst

- Q3 26 (November print): recurring revenue growth against the 3% to 5% guide. ARR tracking the 6% to 8% guide. Roadmap on AI monetization
- FY26 results (early 2027): the annual update on single-workflow customers, which needs to print below 86%; NRR moving toward the 108% target; FY27 guidance framed on ARR and recurring revenue rather than total revenue, which would signal management is steering the Street to the right metric; and the first sell-side work on the standalone cost base now that the carve-out is visible.
- 2027 and beyond: CoLabs converting from pilot to paid ACV, along with a pricing decision on Assist and Aria; recurring mix climbing toward 75%; better price realization now that renewals report into sales rather than a separate retention team; potential index inclusion if the share structure permits; and tuck-in M&A in Protect and Operate.

Messages

Subject	Goodwill
Entry	09/16/2026 10:07 AM
Member	StockOperator

How do you feel above the acquisitions Hexagon made which are now in Octave, and how do you see write offs or impairments going forward? 90% of assets are GW and intangibles here

Subject	Nice pitch / question on ownership
Entry	09/16/2026 01:17 PM
Member	Sarelam34

Hey, great writeup. Do you have a sense for whether there is a plan to address the ownership and dual listing overhangs? Does the major holder have any stated intention to reduce its ownership and is index participation an option at all? Maybe related to these questions, do you think the spin is a prelude to selling the asset (tax efficiently)? Again, thanks for posting this.